

Investment Committee Memorandum

Initial Investment Recommendation — Wholesum Foods Distribution, Inc.

June 14, 2022 | Confidential — IC Use Only

Deal snapshot

Item	Detail
Target	Wholesum Foods Distribution, Inc. (privately held; Gonzales family)
Headquarters	Houston, TX — founded 1978
Sector / sub-sector	B2B distribution — Foodservice (specialty + ethnic foods)
Transaction type	Control buyout with majority recap; family retains 22% rollover
Enterprise value	\$710M
Entry multiple	9.8x LTM Adjusted EBITDA (\$72.4M)
Atlas Crossing equity (Fund III)	\$155M
Senior debt (Antares + Twin Brook)	\$430M (5.9x LTM Adj. EBITDA, unitranche)
Family rollover (Gonzales family)	\$125M (22% pro-forma equity ownership)
Target close	August 2022
Sell-side banker	William Blair
Buy-side advisors	Kirkland & Ellis (legal); EY (QofE); Bain (CDD); FTI (sell-side IT)
Deal team	M. Tang (MD), D. Okafor (Principal), J. Mendez (VP), N. Patel (Associate)

1. Recommendation

The Investment Team recommends the Investment Committee approve the acquisition of a majority controlling interest in Wholesum Foods Distribution, Inc. ("Wholesum") by Atlas Crossing Partners Fund III, L.P. at an enterprise value of \$710 million, representing 9.8x LTM Adjusted EBITDA of \$72.4M. Wholesum is the largest US specialty foodservice distributor focused on Hispanic, Asian, and Mediterranean / Italian product lines, serving ~3,500 restaurant and retail customers from 12 distribution centers. The Gonzales family is rolling \$125M (22%) of proceeds and remaining engaged as executive chairman + CFO.

2. Investment thesis

- **Outsized growth in specialty / ethnic foods well ahead of broader foodservice distribution.** US specialty / ethnic foodservice distribution is growing at 8–10% CAGR vs. mainstream foodservice distribution at 3–4%. Drivers: shifting US demographics (Hispanic/Latino market is now 19% of US population, projected 28% by 2050); Asian-American population growing 32% over the past decade; millennial / Gen Z preference for authentic global cuisine.
- **Fragmented market with consolidation opportunity.** Specialty foodservice distribution is highly fragmented; outside of Wholesum and Sysco/US Foods specialty divisions, the top 10 specialty distributors hold less than 30% combined share. We have line of sight on 8 attractive regional bolt-ons in adjacent ethnic categories (Indian, Middle Eastern, Caribbean) and underserved geographies (Midwest, Mountain West).
- **Private-label opportunity is large and underdeveloped.** Wholesum is only 8% private label today vs. 18–25% at scaled mainstream foodservice distributors and 15–20% at specialty grocery distributors. Migration to 18% PL over 4–5 years implies +220bps GM expansion.
- **Defensive customer base with stable repeat purchase patterns.** 85% of revenue is repeat / contracted with restaurant operators. Wholesum demonstrated resilience through COVID: revenue declined 11% in 2020 (vs. 25%+ for mainstream foodservice distributors) and fully recovered by Q3 2021. Specialty / ethnic restaurants outperformed mainstream operators in 2021–2022.
- **Strong management bench with family willing to step back.** CEO Roberto Gonzales (3rd generation) has run the business for 18 years. Daughter Carmen Gonzales Diaz (current COO) is a strong operator and the natural successor — Atlas Crossing intends to promote her to CEO within 12 months. Roberto will transition to Executive Chairman.
- **Tech infrastructure modernization is the operating lever.** Wholesum's current ERP (custom in-house, 1990s vintage) limits SKU expansion, channel reporting, and customer self-service. NetSuite + Manhattan WMS implementation budgeted at \$14M over 18 months. Expected to unlock \$9–11M of incremental annual EBITDA via warehouse efficiency, fill-rate improvement, and new digital ordering revenue.

3. Company overview

Wholesum Foods Distribution is the leading specialty foodservice distributor in the US, founded in 1978 by Miguel Gonzales (a former wholesale meat distributor) in Houston. The company has grown organically through three generations of Gonzales family leadership to a \$885M-revenue distributor serving 3,500 restaurant and retail customers from 12 distribution centers concentrated in TX (3), FL (2), CA (3), NY metro (2), and Chicago (2). FY2022 LTM revenue \$885M (+13.4% YoY) and LTM Adj. EBITDA \$72.4M (8.2% margin).

Channel and revenue mix (FY2022 LTM)

Segment	% of revenue	YoY growth	GM%
Hispanic foods (broadest specialty)	42%	+15.2%	21.4%
Asian foods (Chinese,	28%	+19.1%	23.2%

Vietnamese, Thai, Japanese, Korean)			
Mediterranean & Italian	18%	+8.5%	22.1%
Other ethnic (Caribbean, African, Indian small base)	7%	+12.0%	23.8%
Cross-line / mainstream complement	5%	+4.0%	16.5%

Customer base is fragmented: top 10 customers represent 11% of revenue; top 50 represent 28%. 78% of customers are independent restaurant operators or small (sub-20-unit) regional chains. Wholesum holds preferred-distributor status with several emerging restaurant brands (e.g., Velvet Taco, Coco's Modern Mexican, Bibim Box) signaling continued share gain in the fastest-growing operator cohort.

4. Market and competitive landscape

The US foodservice distribution market is approximately \$310B (2022), growing at ~4% CAGR. Within this, the specialty / ethnic segment is approximately \$32B (10% of total) and is growing 8–10% CAGR, driven by demographic shifts, restaurant menu evolution, and the post-pandemic preference for authentic regional cuisine in casual dining and fast-casual segments.

Competitive set

Category	Players	Strategic positioning
National broadliners with specialty divisions	Sysco (Daily's Foods, Buckhead Beef), US Foods (Stock Yards, Chef'Store), PFG (Vistar)	Compete on scale + breadth; weaker depth in ethnic SKUs
Direct competitors — specialty foodservice	Wholesum, Restaurant Depot/Jetro (cash-and-carry), Cheney Brothers (Southeast)	Direct competition; Wholesum is the most diversified
Regional ethnic specialists	Goya Foods Distribution, Sun Fat Seafood, La Plaza Distributors, Krasdale	Single-segment; smaller scale; bolt-on candidates
Online B2B platforms	Choco, Notch, Cut+Dry, Pepper	Tech-enabled aggregators; complementary rather than threatening at current scale

5. Financial overview

Historical and projected P&L (\$M)

Metric	FY19A	FY20A	FY21A	FY22 LTM	FY23B	FY24B	FY25B	FY26B
Revenue	\$685	\$610	\$780	\$885	\$988	\$1,096	\$1,205	\$1,309
YoY growth	—	(11.0%)	27.9%	13.5%	11.6%	10.9%	9.9%	8.6%
Gross margin	21.4%	20.8%	21.2%	21.8%	22.4%	22.9%	23.2%	23.4%
Adj. EBITDA	\$55	\$41	\$62	\$72	\$84	\$98	\$112	\$122

EBITDA margin	8.0%	6.7%	7.9%	8.2%	8.5%	8.9%	9.3%	9.3%
Capex	(\$16)	(\$12)	(\$15)	(\$18)	(\$22)	(\$24)	(\$25)	(\$25)
FCF	\$25	\$20	\$32	\$38	\$44	\$56	\$71	\$79

6. Key diligence findings

6.1 Quality of earnings (EY)

EY adjusted LTM EBITDA to \$72.4M (from management reported \$78.1M). Adjustments include \$2.1M of non-recurring 2021 commodity-trading gains, \$1.8M of family-related expenses (auto, travel, family-office allocations), \$1.0M of one-time legal settlements, \$0.8M reclass of deferred IT capex. Underlying business quality strong; receivables aging clean.

6.2 Commercial diligence (Bain)

Bain confirmed specialty / ethnic foodservice as the highest-growth segment within foodservice distribution. Bain's customer panel of 220 restaurant operators rated Wholesum #1 in product depth, #2 in fill rate (behind Sysco specialty), and #4 in price (consistent with premium positioning). Three risks flagged: (a) labor cost inflation in fulfillment workforce; (b) fuel/freight inflation pass-through capability; (c) consolidation by Sysco/US Foods specialty arms. Mitigants: automation ROI roadmap in place; 92% of contracts have fuel pass-through escalators; Wholesum's depth in ethnic SKUs is a real moat that mainstream distributors cannot easily replicate.

6.3 IT diligence (FTI)

FTI's IT assessment confirms the urgency of ERP modernization. Current system (custom Visual Basic, last major upgrade 2007) cannot support: (a) advanced demand forecasting / inventory optimization; (b) integrated digital ordering; (c) multi-DC SKU rationalization. Recommended stack: NetSuite ERP + Manhattan WMS + Salesforce CPQ + custom digital ordering portal. Total investment \$14M over 18 months. Migration risk material but manageable with parallel-run.

6.4 Operational diligence

Wholesum's fill rate (95.4%) is below scaled peers (97–98%) — primarily a function of legacy ERP capacity constraints. Inventory turns 6.8x (vs. peer median 8.2x), implying ~\$60M of working capital opportunity. Warehouse productivity (lines/labor hour) is 22% below benchmarks; with WMS implementation we expect 30–40% productivity gains.

7. Value creation plan

Lever	Initiative	FY22 → FY26 EBITDA contribution
Organic growth (segment + share)	Continued share gain in fastest-growing ethnic segments (Asian, Indian, Caribbean); pricing actions; new geos via existing DC footprint	+\$28M
Tech modernization (NetSuite +	ERP migration over 18 months;	+\$10M

WMS)	warehouse productivity, fill rate improvement, working capital release (\$40M+ over 3 years)	
Private label expansion (8% → 18%)	Build private-label sourcing across top-5 SKU families per ethnic line; 12-month integration of dedicated R&D and packaging design team	+\$8M
Bolt-on M&A (target: 3 closed)	Adjacent ethnic categories (Indian, Middle Eastern) and underserved geographies (Midwest, Mountain West); typical 5.5x pre-synergy / 4.0x post-synergy	+\$6M
SG&A leverage / supplier consolidation	Consolidated procurement org; supplier rebate optimization; centralized HR/finance	+\$3M
TOTAL		+\$55M (vs. entry EBITDA of \$72M = ~1.76x)

8. Financing & returns

Sources & uses (\$M)

Sources	\$M	Uses	\$M
Senior unitranche (Antares + Twin Brook)	430.0	Purchase price (incl. WC adj.)	710.0
Atlas Crossing equity (Fund III)	155.0	Fees & expenses	21.5
Family rollover (Gonzales family)	125.0	ERP / WMS capex (year-1 portion)	5.5
Cash on balance sheet	27.0		
Total sources	737.0	Total uses	737.0

Returns sensitivity (4-year hold target)

Scenario	Exit EBITDA (\$M)	Exit multiple	Exit EV (\$M)	ACP equity proceeds (\$M)	MOIC	Gross IRR
Downside	\$92	8.5x	\$782	\$258	1.7x	13.4%
Base	\$122	10.0x	\$1,220	\$521	3.4x	35.8%
Upside	\$138	11.5x	\$1,587	\$733	4.7x	47.2%

9. Key risks & mitigants

Risk	Mitigant
Family transition risk (Roberto → Carmen)	Carmen has operated as COO for 6 years; well-respected internally and with key suppliers; we will install a strong CFO and SVP Supply Chain in months 1-4
ERP modernization execution risk	Phase migration (DC-by-DC) with parallel-run; PFG and Performance Food Group successfully completed

	similar migrations; FTI to provide PMO support
Consolidation by Sysco/US Foods specialty arms	Wholesum's specialty depth is differentiated; relationships with emerging restaurant operators provide stickiness; ongoing strategic-buyer cultivation as exit alternative
Labor cost inflation and fulfillment labor availability	Phased warehouse automation roadmap; market-rate wage adjustments already in plan; geographic diversification across TX/FL/CA/NY metros
Fuel and freight inflation	92% of customer contracts have fuel-cost pass-through escalators; remaining 8% being renegotiated at next renewal cycle
Commodity price volatility in protein and produce	Limited direct exposure (Wholesum is primarily a value-add distributor of branded and ethnic dry/specialty SKUs, not commodity protein); pass-through structures on 80%+ of contracts

10. Exit considerations

Target hold period is 4 years (exit 2026), with annual re-evaluation starting year 3. Anticipated exit set includes: (a) strategic buyers — Sysco, US Foods, Performance Food Group (all of whom have specialty division expansion mandates); (b) financial sponsors with consumer / distribution depth (L Catterton, Berkshire Partners, KKR Consumer, Bain Capital); (c) IPO as an emerging specialty platform (less likely given specialty-distribution public comp scarcity).

11. Recommendation

The Investment Team recommends approval of the Wholesum Foods Distribution transaction at the terms described, subject to satisfactory completion of confirmatory diligence (legal, environmental, supplier-contract assignability), final debt commitment papers from Antares + Twin Brook, and execution of family-rollover and management equity documentation. Target close: August 2022.

Submitted by the Deal Team:

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